

IMARTICUS LEARNING

EXCHANGE TRADE LIFE CYCLE



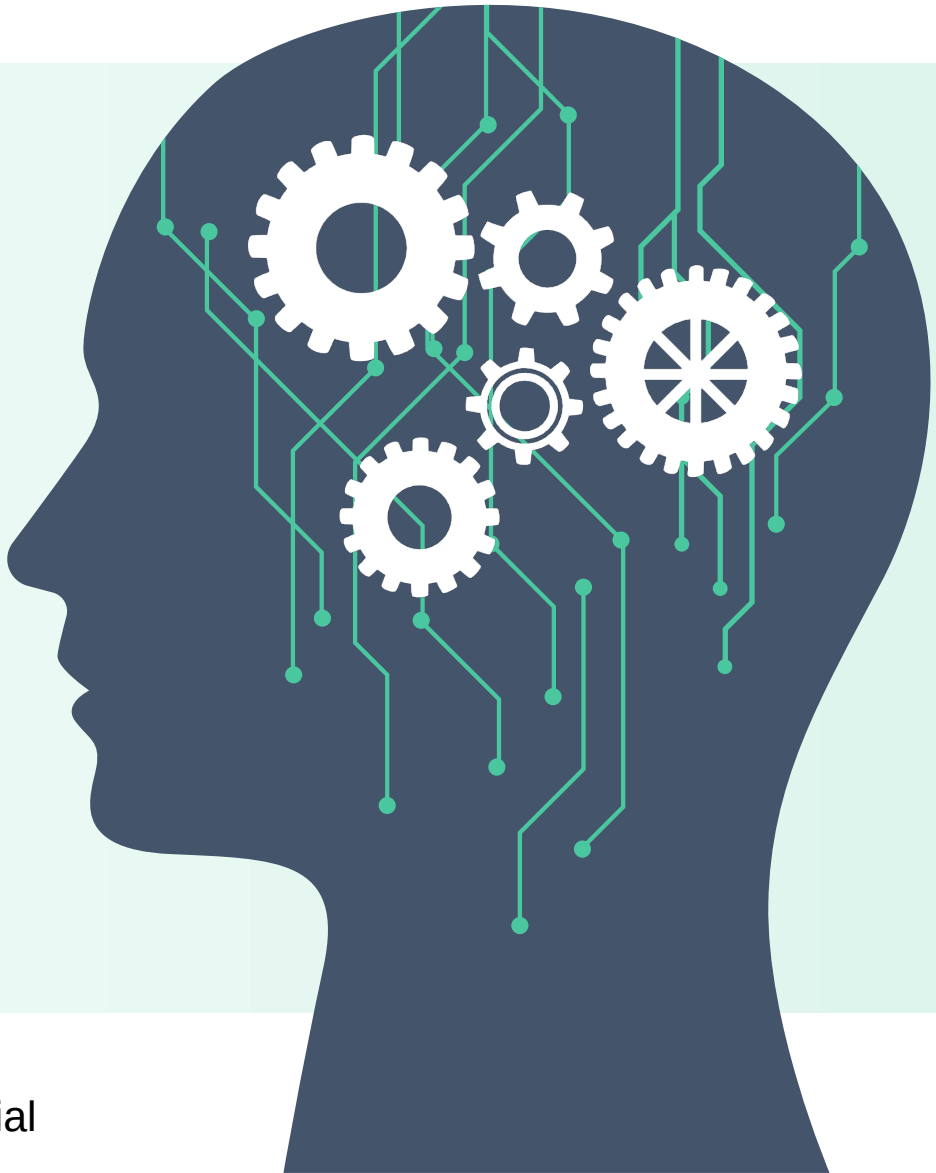
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YOU ARE GOING TO LEARN…

- Introduction to Trades
- Types of Orders
- Participants in Exchange Trades
- Exchange Traded (ETD) Life Cycle
- US Markets Equity Trade Life Cycle





Exchange Traded (ETD) Life Cycle

TRADE LIFE CYCLE

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What is a trade?

In finance and economics, a "trade" refers to the act of buying or selling a financial asset or a good and services with the expectation of receiving something of value in return. Trades are fundamental transactions that occur in various markets and are the basis for economic activity.

1. **Exchange of Ownership:** A trade involves the transfer of ownership or rights to an asset, whether it's a financial instrument (e.g., stocks, bonds, currencies, commodities) or physical goods and services (e.g., cars, electronics, labor). In financial markets, ownership is typically represented by securities or contracts.

2. **Buyer and Seller:** A trade involves at least two parties: a buyer and a seller. The buyer is the party acquiring the asset or service, while the seller is the party providing it. In financial markets, buyers are often referred to as "long" and sellers as "short."

TRADE LIFE CYCLE

3. **Mutual Agreement:** Both the buyer and the seller must agree to the terms of the trade. This includes agreeing on the price, quantity, and any other relevant terms and conditions. The agreement can be explicit or implied, depending on the nature of the transaction.

4. **Consideration:** In a trade, there is typically a consideration, which is the value given by one party to the other in exchange for the asset or service. Consideration can take the form of money, other assets, goods, services, or a combination thereof.

TRADE LIFE CYCLE

5. **Intent:** Trades are conducted with the intent of achieving specific goals. Buyers may seek to profit from price increases (capital gains), while sellers may aim to lock in profits, manage risk, or fulfill contractual obligations.

6. **Marketplaces:** Trades often occur in organized marketplaces or platforms designed to facilitate buying and selling. These marketplaces can be physical, such as stock exchanges, or digital, such as electronic trading platforms.

Features of an order

An order in the context of financial markets and trading refers to a specific instruction given by a trader or investor to buy or sell a financial instrument. Orders are essential for executing trades in an organized and systematic manner. Each order has distinct features that define its characteristics and how it should be executed.

1. **Instrument to Be Traded:** An order specifies the financial instrument or asset that the trader intends to buy or sell. This can include stocks, bonds, commodities, currencies, options, futures contracts, or other tradable assets.

TRADE LIFE CYCLE

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2. **Order Type:** The order type determines how the trade should be executed. Common order types include:

   - **Market Order:** A market order is executed immediately at the prevailing market price. It prioritizes speed of execution over price.

   - **Limit Order:** A limit order specifies a specific price at which the trader is willing to buy (limit buy order) or sell (limit sell order). It is executed only at or better than the specified price.

   - **Stop Order:** A stop order becomes a market order when the market reaches a specified price level (stop price). It is often used to limit losses or trigger entry into a trade.

   - **Stop-Limit Order:** Similar to a stop order, but it becomes a limit order instead of a market order when the stop price is reached.

- **Market-on-Close (MOC) Order:** A market order to be executed at or near the closing price of the trading day.
- **Fill-or-Kill (FOK) Order:** An order that must be executed in its entirety immediately or not at all.
- **Immediate-or-Cancel (IOC) Order:** An order that must be executed immediately, with any unexecuted portion canceled.

3. **Quantity:** The quantity specifies the number of units or contracts of the asset that the trader wants to buy or sell. It can range from a single unit to thousands or more.

TRADE LIFE CYCLE

4. **Price:** For limit orders, the price indicates the specific price at which the trader is willing to buy or sell. Market orders are executed at the current market price.

5. **Duration:** Orders can have different durations, indicating how long the order remains active in the market. Common durations include:

   - Day Order: Valid for the current trading day.
   - Good-Til-Canceled (GTC) Order: Remains active until executed or canceled by the trader.
   - Fill-or-Kill (FOK) Order: Must be executed immediately or canceled.
   - Immediate-or-Cancel (IOC) Order: Must be executed immediately, with any unexecuted portion canceled.

TRADE LIFE CYCLE

6. **Order Trigger:** Some orders, like stop orders, require a trigger condition to be met before they become active. The trigger condition is typically a specific price level.
7. **Routing Instructions:** Traders can specify how they want the order to be routed to the market or exchange. For example, they may choose to send the order to a specific exchange or route it through a particular trading platform.
8. **Order ID and Timestamp:** Each order is assigned a unique identifier (Order ID) and includes a timestamp indicating when the order was placed. These details are crucial for tracking and record-keeping.

TRADE LIFE CYCLE

9. **Order Instructions:** Traders can include additional instructions with their orders, such as special handling requests, time constraints, or specific execution instructions.

10. **Regulatory Compliance:** Orders must comply with relevant regulations and market rules, including order size limitations, circuit breakers, and other regulatory requirements.

A trade with the above details, can only be done with the help of market participants and settlement cycle of each markets

SETTLEMENT CYCLE

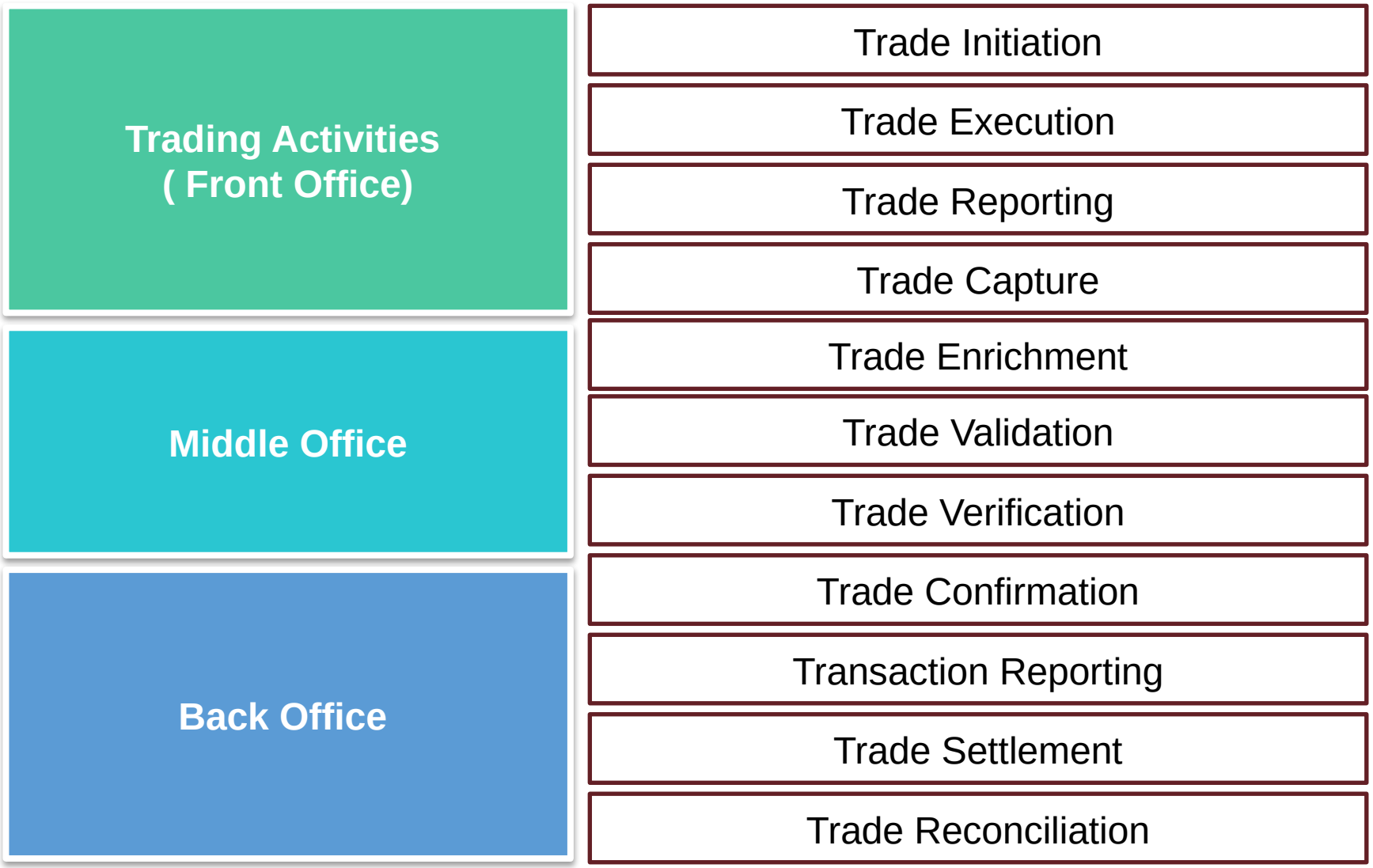
MARKET PARTICIPANTS

PARTICIPANTS IN EXCHANGE TRADE LIFE CYCLE

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1. EXCHANGES
2. EXCHANGE BROKERS/MEMBERS/STO (Securities Trading Organisation)
3. CLIENTS OF STO - HNIs, Family Offices, Institutional Investors, Corporate Treasuries.
4. CLEARING HOUSE - CLEARING CORPORATION
5. CLEARING BROKERS / MEMBERS
6. CUSTODIAN BANKS
7. DATA SERVICE PROVIDERS
8. TECHNOLOGY SERVICE PROVIDERS
9. CENTRAL SECURITIES DEPOSITORIES
10. CENTRAL SECURITIES DEPOSITORIES

TRADE LIFE CYCLE



TRADE INITIATION

- Below are the mandatory process to be followed before we can start trading for the client
- **It starts with the below process :-**
  - **KYC Check** - Regulations require you first to do KYC check your customers during the onboarding process and then follow their financial transactions
  - **AML Check -** Anti-money laundering (AML) refers to the activities financial institutions perform to achieve compliance with legal requirements to actively monitor for and report suspicious activities.
  - **Set Up New Client on RDM -** Accounts are created in the internal system of STO, these accounts are called as fund number. All the required information of the customer are stored in here, which is useful for later for verification, trends, performance and valuation

TRADE INITIATION

Trade initiation is the first stage in the trade life cycle and marks the beginning of the process where a trader or investor decides to initiate a trade by buying or selling a financial instrument. This stage involves specifying the key trade details, including the asset, quantity, price, and trade date.

1. Trading Decision:

- The trade initiation process begins when a trader or investor decides to enter into a trade. This decision is typically based on various factors, including market analysis, investment strategy, risk tolerance, and market conditions.
- Traders may have different motivations for initiating a trade, such as profit generation, risk management, portfolio rebalancing, or hedging against market movements.

TRADE INITIATION

2. Selection of Financial Instrument:

- The trader selects the financial instrument in which they want to trade. This could be stocks, bonds, commodities, foreign exchange (forex), options, futures contracts, or any other tradable asset class.
- The choice of financial instrument depends on the trader's investment objectives and the opportunities they perceive in the market.

3. Determination of Trade Direction:

- Traders decide whether they want to buy (take a long position) or sell (take a short position) the selected financial instrument.
- The direction of the trade is based on the trader's outlook for the asset's price movement. For example, if a trader believes the price will rise, they may initiate a buy order (going long).

TRADE INITIATION

4. Trade Quantity:

- Traders specify the quantity or volume of the financial instrument they want to trade. The quantity can range from a single share to thousands or more, depending on the trader's investment strategy and available capital.
- The trade quantity should align with the trader's risk management and portfolio allocation goals.

5. Trade Price:

- Traders determine the price at which they are willing to execute the trade. The specified price is known as the "limit price."
- The limit price can be set at a specific price level, or it can be based on market conditions, such as the current market price or a certain price range.

TRADE INITIATION

6. Trade Date:

- The trader selects the trade date, which is the date on which they want the trade to be executed. The trade date may be the same day as the trade initiation (a "spot trade") or a future date (a "forward trade").
- The choice of trade date can be influenced by factors like market timing, settlement considerations, and trading strategy.

7. Order Type:

- Traders may choose from various order types to specify how they want their trade to be executed. Common order types include market orders, limit orders, stop orders, and more.
- Each order type has specific execution instructions and risk considerations.

TRADE INITIATION

8. Broker Selection:

- If the trader uses a brokerage firm to execute the trade, they select the broker through which they will place the trade. Broker selection may depend on factors such as brokerage fees, execution speed, research tools, and market access.

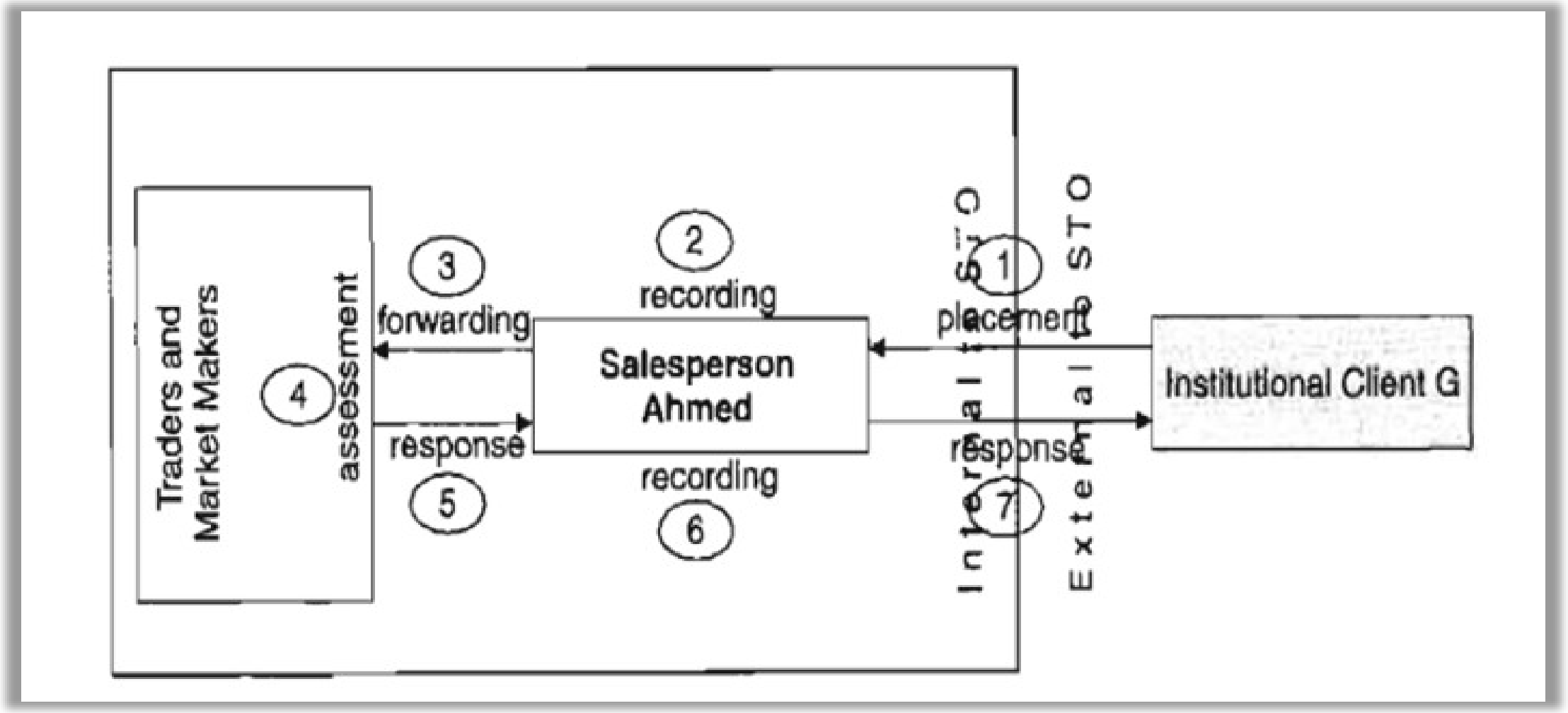
9. Trade Instructions:

- Traders provide specific instructions to the broker or trading platform, including details like the chosen order type, quantity, limit price, and trade date.
- Trade instructions ensure that the trade is executed according to the trader's intentions.

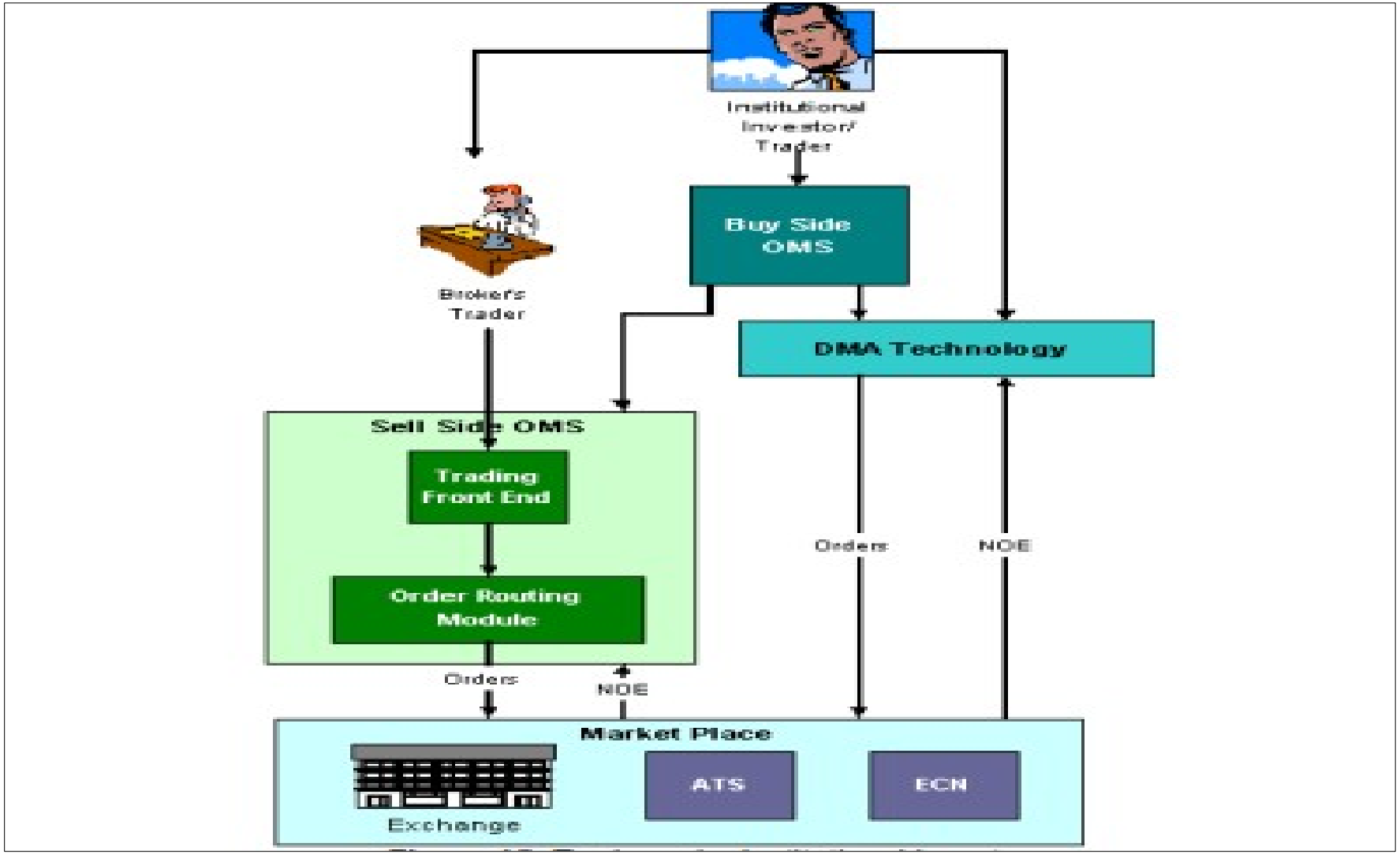
10. Compliance and Regulatory Considerations:

- Traders and investors must consider regulatory requirements and compliance issues when initiating a trade. These requirements can vary depending on the type of asset, market jurisdiction, and the trader's legal obligations.

TRADE EXECUTION



TRADE EXECUTION



TRADE EXECUTION

Trade execution is a crucial stage in the trading process where a trader's order to buy or sell a financial instrument is carried out in the market. It involves the actual matching of the order with a counterparty, either manually or electronically, and the completion of the transaction. Trade execution is a critical step that determines the price at which the trade is executed and has a significant impact on a trader's profitability.

1. **Order Receipt:**

- Trade execution begins when the trading platform or broker receives the trader's order. This order can be of various types, such as market orders, limit orders, or stop orders, each with its specific execution characteristics.

2. **Order Validation:**

- The order is validated to ensure that it meets the market's requirements and regulatory standards. This validation includes checks for order size, price levels, and other constraints set by the market.

TRADE EXECUTION

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3. Order Routing:

- Once the order is validated, it is routed to the relevant market or exchange. The choice of where to route the order can depend on factors like market liquidity, order type, and execution speed. Some orders may be executed on electronic trading platforms, while others may go to a traditional stock exchange.

4. Order Matching:

- In the market or exchange, the trader's order is matched with a counterparty willing to take the opposite side of the trade. For example, a buy order is matched with a sell order, and vice versa.
- The order matching process typically occurs through an order book or central limit order book (CLOB), where buy and sell orders are listed at different price levels. Orders are matched based on the "price-time priority" rule, where orders at the same price level are executed in the order they were received.

TRADE EXECUTION

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5. Price Determination:

- The price at which the trade is executed is determined by the market conditions and the specific order type.
- For market orders, the execution price is the current market price at the time the order is matched. Market orders prioritize speed of execution over price certainty.
- For limit orders, the execution price is the specified limit price or better. Limit orders prioritize price control over execution speed.
- For stop orders, the execution price becomes a market order when a specific trigger price is reached.

TRADE EXECUTION

The most important function of an Order Management System is ‘Order Capture’ which flows down to trade support and settlement systems.

Trade Initiation from BUY SIDE

Buy side clients are Investment Manager of a Mutual Fund, Hedge Funds etc.

An Investment Manager can initiate trade order via

- Through sell side - Will contact broker/ trader directly
- Through buy side OMS -
  - To Sell side - via FIX system
- Through DMA technology

This then flows to the multiple markets as it can connects to Exchanges, ECNs, etc.

Macgregor, Charles River Investment Management System etc. are examples of buy side OMS.

“Direct Market Access (DMA)” that allows firms to route orders to all market destinations. Lava Trading, RealTick and FlexDMA are examples of DMA based applications.

With DMA, buy side customers are renting a broker's infrastructure and clearing via the broker, but they are controlling the order. The real motivation for aggressive DMA trading on the buy side is cheaper commissions as compared to routing the order to sell side.

TRADE EXECUTION

The most important function of an Order Management System is ‘Order Capture’ which flows down to trade support and settlement systems.

Trade Initiation from SELL SIDE

- Examples some popular Sell side OMS includes GL Trade, Fidessa, Davidge Data Systems, NYFIX etc.

- When the trader executes the order in the BUY SIDE/ SELL SIDE workstation, it can either go to electronic exchange such as NASDAQ etc. via Electronic Communication Network (ECN) or go to manual exchanges such as NYSE.

TRADE REPORTING

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Purpose of Trade Reporting

- Ensures market transparency: everyone can see executed prices and volumes.
- Facilitates price discovery and helps market participants make informed decisions.
- Enables regulators to monitor market activity and detect irregular trading patterns.
- Provides a basis for risk assessment and surveillance.

Timing of Trade Reporting

- Occurs immediately after trade execution.
- For exchange-traded instruments: usually real-time or near real-time, automated by the exchange.
- Always before clearing and settlement, so regulators can monitor exposures and obligations.

Who Reports

- Exchange or broker reports automatically.

Example

- Institutional Investor buys 100000 shares of Reliance on NSE at ₹1,500:
- Exchange automatically reports trade details (instrument, price, quantity, timestamp) to regulators.
- Market participants see price and volume for transparency

TRADE CAPTURE

- Trade capture is a process to book a transaction into a front-office trading system, such as inputting all trade details in the official book of record system, linking all reference data, and calculating profit and loss

- The successful capture of a trade within a trading system should result in the trade details being sent to the middle office immediately

- The trading system should perform validation that all necessary components of a trade are present, before assigning a trade reference to the trade.

ORDER MANAGEMENT SYSTEM

- Trading book • Trade date • Trade time • Value date • Operation • Quantity • Security • Price • Counterparty

RISK MANAGEMENT SYSTEM

- Update the trading position for the specific security (typically within a trading book), so that factual trading position is reflected in the trader's records. • Update the average price of the current trading position so that when the next trade is executed, the trader or market maker knows whether a trading profit or loss will be made.

TRADE CAPTURE - TRADE TICKET

Purchase (P) Sale (S) Repo (R) Reverse Repo (RR) Sec Loan (SL) Sec Borrow (SB) SL Recall (SLR) SB Return (SBR)	P		Dealer enters information
Security:	IAG	(Use ShortName)	
Quantity:	5,000		
Price:	445.20	GBX	
Counterparty:	T02		
Trade Date:	25 Feb 2014		
Trade Location:	LSE		
Trade Time:	09:15		

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The information contained in the dealing sheet will be submitted to the Middle Office either electronically or manually using a trade ticket. Illustrates an example of a trade ticket

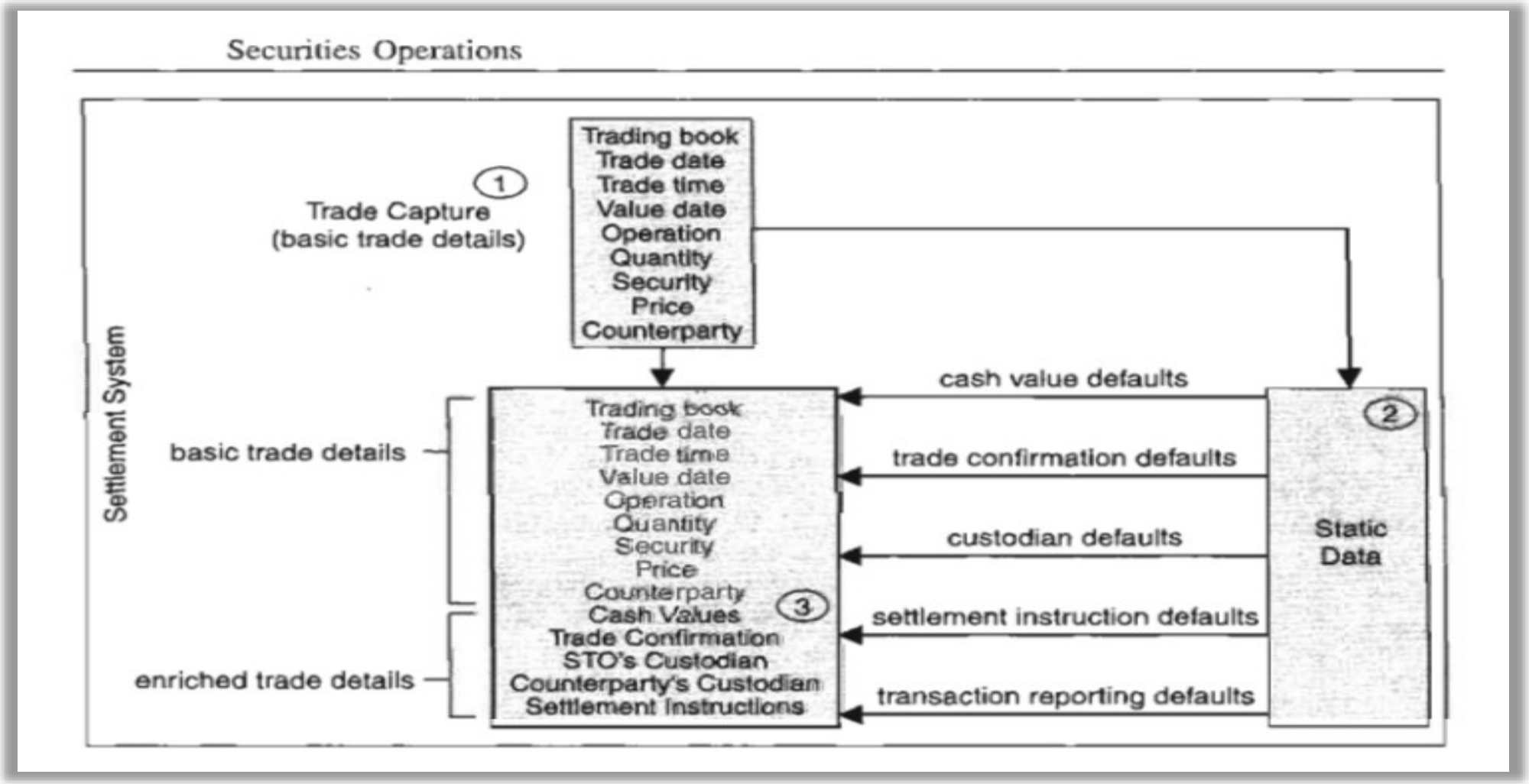
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Settlement Date:			
Consideration:			
Accrued Interest:			
Total Net Amount:			
Settlement Method:	RVP | DVP | FOP		
Your Reference	Confirm Out	Confirm In	Inx to C/House
	YES | NO	YES | NO	YES | NO

TRADE ENRICHMENT

- Trade enrichment is achieved through defaulting relevant information automatically from the store of information within static data is commonly known as Data Defaulting.
- Trade Enrichment Factors
  - Cash values defaults – Trade Figuration
  - Custodian defaults
  - SSI defaults
  - Trade confirmation defaults
  - Transaction reporting defaults

TRADE ENRICHMENT



TRADE ENRICHMENT - CASH VALUES DEFAULTS – TRADE FIGURATION

- Trade figuration means calculating trade cash values. It involves the determination of the net amount (NSV) of a securities transaction.
  - Accrued Interest - Accrued interest is applicable on straight bonds, but not on zero coupon bonds.
  - Client purchases of UK equity attract stamp duty, but sales do not.
  - Only sellers of US equity are required to pay a Securities & Exchange Commission fee.
  - Stamp duty is payable on Irish equities, but not on Japanese equities.

TRADE ENRICHMENT - SSI DEFAULTS

- The Standard Settlement Instructions (SSIs) specify how a trade is to be settled. SSIs are added to trading accounts based on requests from Middle/Back Office.
- The below fields are important for the process of adding SSIs to an account: •
  - Place of Settlement - Custodian / Depository
  - Currency of Settlement
  - Delivering Agent - Nostro and Depot Account
  - Receiving Agent - Nostro and Depot Account

TRADE ENRICHMENT - SSI DEFAULTS

- Settlement instructions need to be send to custodian or depository immediately once the trade comes from Front office to Middle office

Standard Settlement Instructions (SSI) Defaults added -

- Custodian may have a preferred (but different) method of transmission.
- For instance: company A may choose to transmit via telex, whereas company B may choose to transmit via S.W.I.F.T.
- **For example:** custodian X may require all settlement instructions to be transmitted via a specific S.W.I.F.T. message type, whereas custodian Y may require the transmission of all such instructions via a different S.W.I.F.T. message.

TRADE VALIDATION

- STOs adopt a final check of the data contained within a fully enriched trade, in order to reduce the possibility of erroneous information being sent to the outside world. This activity is known as trade validation, a mechanism to reduce risk and remain in control. Unless an STO performs validation of trade information at this stage of the trade lifecycle, there is a risk that:
  - Timely and accurate servicing of clients
  - Avoidance of operational risk and cost

TRADE VALIDATION

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Relevant Rules set in the Data Management

Components	Rules	Components	Rules
Trading Book	may be restricted to specific traders	**Price**	bond price must be either a percentage relevant to face value or a yield.
Trade date	should be ‘today’ for a new trade	**Counterparty**	must include location of counterparty.
Trade time	cannot be in the future.	**Trade Cash Value**	must be quantity x price (unit or percentage) plus or minus other costs such as stamp where relevant
Value date	is normally the standard settlement cycle for the security group (e.g. T+2 for Europe)	**Trade Confirmation**	should be sent to institutional clients
Quantity	must be multiples of the minimum denomination of a bond	**Company's and Counterparty 's Custodians**	must be relevant to the security group.
Security	cannot be a matured bond		

TRADE VERIFICATION

- Here the trade is compared with the Trade Sheet i.e. an email/excel file sent from Front Office to Middle Office. This step is done to ensure that the details that the Front Office has sent to the client and what is booked is correct
- This is the step Pre settlement reconciliation, done as part of the internal recon process.
- Here we ensure that all the transaction booked in FO has passed in the middle office.

TRADE CONFIRMATION

- A trade confirmation, often referred to simply as a "confirmation," is a document generated after a financial trade has been executed. It provides detailed information about the trade to both the buyer and the seller, serving as an official record of the transaction. Trade confirmations are a crucial part of the trade processing cycle and play a significant role in maintaining transparency, reducing disputes, and facilitating regulatory compliance. Here's an in-depth explanation of trade confirmation:

1. Content of a Trade Confirmation:

- A trade confirmation typically contains the following key information:
- Trade Details: This includes the asset traded (e.g., stock, bond, currency pair, commodity), the quantity of the asset, and the execution price.
- Trade Date: The date on which the trade was executed.
- Value Date / Settlement Date: The date on which the trade will be settled, which is when ownership and payment will be exchanged. (VD and SD in some cases can be different)

TRADE CONFIRMATION

- **Counterparty Information:** Details about the buyer and the seller, including their names, addresses, and account information.
- **Trade Reference Number:** A unique identifier for the trade, which is used for tracking and record-keeping.
- **Trade Venue:** Information about where the trade was executed, such as the stock exchange, electronic trading platform, or over-the-counter (OTC) market.
- **Execution Time:** The precise time at which the trade was executed.
- **Order Type:** The type of order used for the trade (e.g., market order, limit order, stop order).
- **Trade Currency:** The currency in which the trade was executed.

TRADE CONFIRMATION

2. Distribution of Trade Confirmations:

- Trade confirmations are typically sent to both the buyer and the seller shortly after the trade has been executed. In some cases, a copy may also be provided to a clearinghouse or central counterparty (CCP) for clearing and settlement purposes.
- For institutional and retail investors, trade confirmations are often delivered electronically through email, online trading platforms, or secure messaging systems.

3. Trade Confirmation Frequency:

- The frequency of trade confirmations can vary depending on the financial market and the nature of the trade. In some markets, such as equities, confirmations are generally sent on the same day as the trade execution & Instaneous.

TRADE CONFIRMATION

4. Legal and Regulatory Requirements:

- Trade confirmations serve as legal documents that provide evidence of the terms and conditions of the trade. They are subject to regulatory requirements, which may vary by jurisdiction and asset class.
- Regulatory requirements often dictate the content and timing of trade confirmations, as well as any specific disclosures that must be included.

5. Risk Management and Dispute Resolution:

- Trade confirmations play a vital role in risk management and dispute resolution. By providing a detailed record of the trade, they help traders and investors verify that the trade has been executed correctly and in accordance with their instructions.
- In the event of disputes or discrepancies, trade confirmations serve as evidence that can be used to resolve issues between counterparties.

TRADE CONFIRMATION

6. Record-Keeping and Audit Trail:

- Trade confirmations are essential for maintaining accurate records of all trading activities. They create a comprehensive audit trail that can be used for compliance, accounting, and regulatory reporting purposes.
- These records are typically retained for a specified period to meet regulatory requirements.



TRADE CONFIRMATION

1. Broker sends a trade confirmation to the client via an electronic trade matching platform or through an excel/pdf.

2. The client compares the trade details with their internal OMS.

3. Both the economic and non-economic details of the trade will be matched by the client.

4. Once the trade has been confirmed by the client - the broker will send the details to the custodian and/or depository/clearing house. The client will also send the trade details to their custodian.

TRADE TRANSACTION REPORTING

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Purpose of Transaction Reporting

- Provides regulators with client-level trade data for monitoring compliance.
- Helps in detecting market abuse, insider trading, and suspicious activity.
- Supports AML/KYC compliance and risk monitoring by regulatory authorities.
- Enables regulators to track positions, exposures, and overall market risk at the participant level.

Transaction reporting can be achieved by

- Transmission originated by the member of a specific message, part of which is used for transaction reporting
- Trax where a single message sent by an ISMA member serves the purpose of trade matching as well as transaction reporting, with the relevant information forwarded by ISMA to the regulator
- Transmission of a settlement instruction to a national central securities depository (NCSD), that then forwards the necessary information to the regulator, for example: Crest (UK).

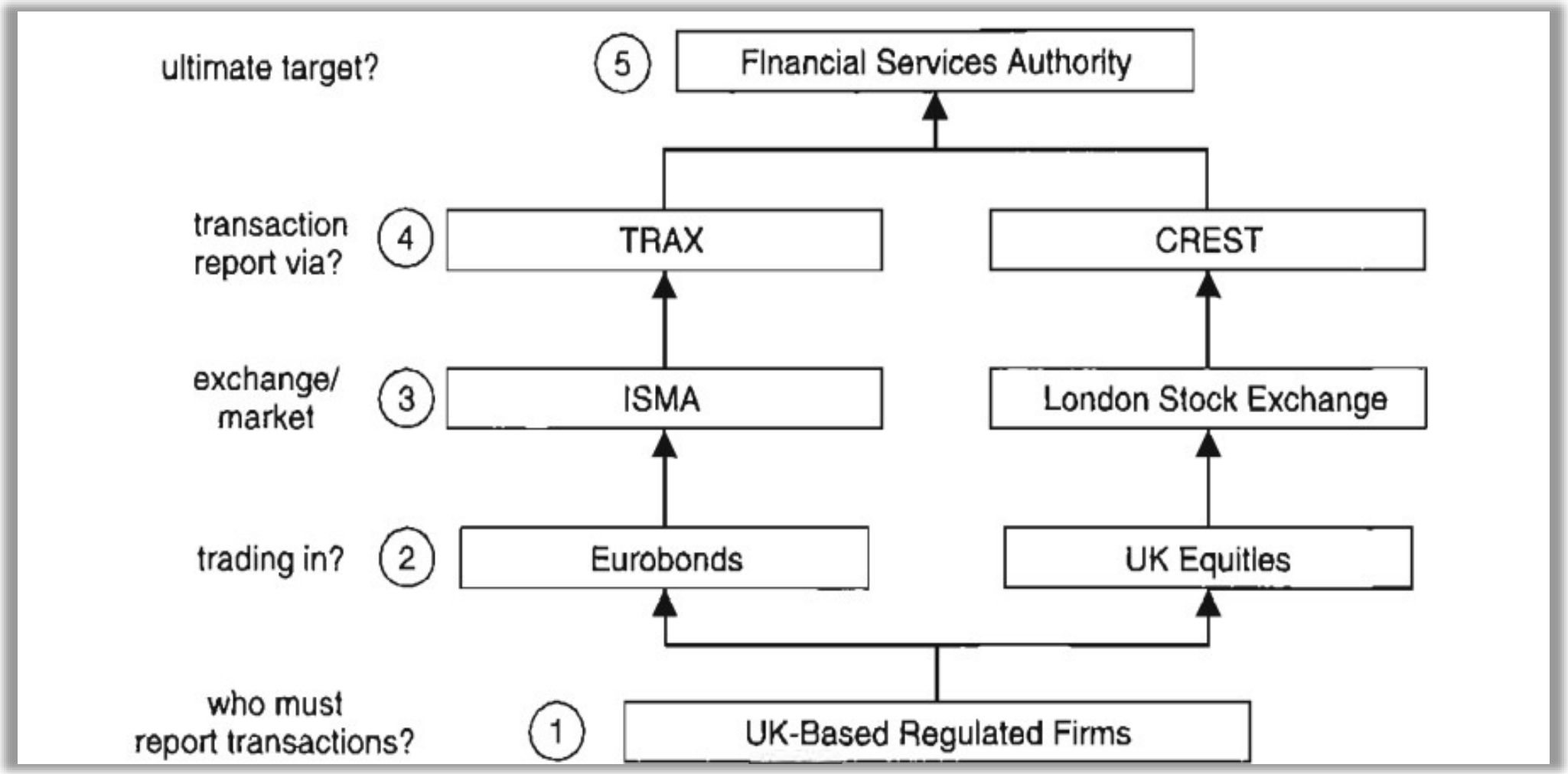
TRADE TRANSACTION REPORTING

MiFID II (2018)
Transaction Reporting Scope: Significantly expanded compared to MiFIDI. Covers all financial instruments, including:

- Equities
- Bonds
- Derivatives (exchange-traded & OTC)
- Structured products
- ETFs

Purpose	Content of reports	Key Improvements
• Enhanced market surveillance, risk monitoring, and detection of market abuse. • Supports ESMA's monitoring and oversight across all EU markets.	• Much more detailed and includes Client identifiers (LEI – Legal Entity Identifier), Order types, Buy/sell indicators • Venue of execution, Price, quantity, and timestamps, Reporting timestamps	• Introduced unique transaction identifiers (UTI) to link related trades, Expanded reporting to OTC derivatives that were previously excluded., • Stricter deadlines for submission (usually T+1)., • Improved data quality requirements for regulators.

TRADE REPORTING



TRADE SETTLEMENT

- It starts with clearing and then settlement.
- Clearing/clearance is defined as: “. Clearance is the preparation for settlement and takes place in a central system known as either a clearing house or a central counterparty”.
- As part of the settlement process, clearing systems will match both sides to any transaction and check that there is sufficient asset availability before advising a CSD that the transaction can settle.
- Clearance is the preparation for settlement and takes place in a central system known as either a clearing house or a central counterparty.
- Determination of obligations of both parties helps parties to know their net payment/ receipt of both cash and securities by TD+1 day, making sure parties are ready with the both.

TRADE SETTLEMENT

Sometimes the term is used (imprecisely) to include settlement. ”Settlement is defined as: “The completion of a transaction, wherein the seller transfers … securities or financial instruments to the buyer and the buyer transfers money to the seller.

The settlement agent can now make the settlement on the SD.

- Pay-In funds and securities
- Pay-out funds and securities

Understanding Global Settlement Cycles

Markets worldwide operate on different settlement cycles, typically ranging from same-day (T+0) to two business days after the trade date (T+2). The "T" represents the trade date, while the number indicates how many business days later settlement occurs.



T+0

Same-day settlement requiring immediate cash availability

T+1

Next business day settlement offering one day to prepare

T+2

Two business days providing more processing time

These cycle variations significantly impact cash movement timing, asset posting schedules, and operational workflows. Teams must align their processes to accommodate each market's specific requirements.

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Why Settlement Cycles Vary

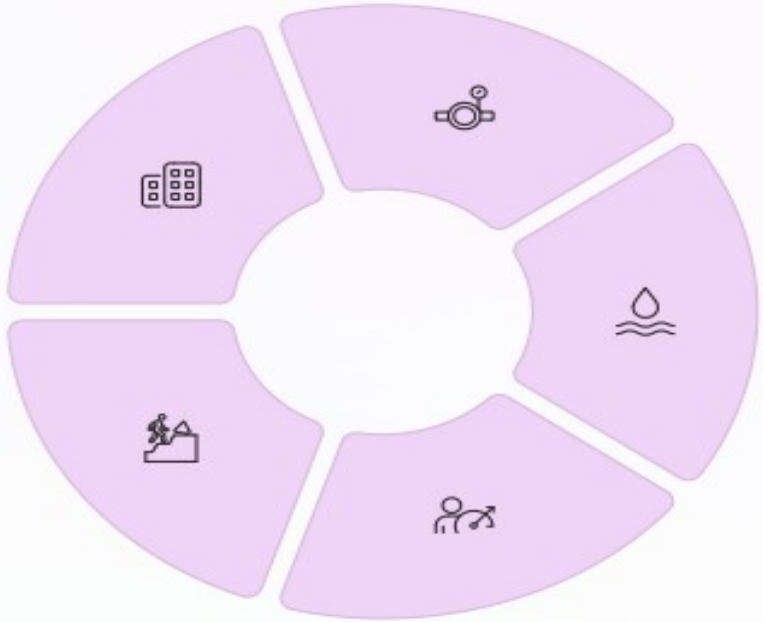
Settlement cycle differences reflect each market's unique characteristics, regulatory environment, and technological maturity. Understanding these factors helps explain global variations.

Market Infrastructure

Technology capabilities and clearance system sophistication determine feasible settlement speed

Risk Frameworks

Each market's approach to managing counterparty and systemic risk shapes cycle decisions



Regulatory Requirements

National regulators set cycles balancing risk reduction with operational feasibility

Liquidity Levels

Market depth and funding availability influence the practical settlement timeframe

Operational Efficiency

Processing capabilities of market participants affect cycle length requirements

Recognizing these differences enables firms to design robust processes that prevent settlement failures and manage cross-border complexity effectively.

T+1 Settlement Cycles



T+2 Settlement Markets

Many major global markets continue to operate on a two-business-day settlement cycle. This longer timeframe provides additional processing time but also extends risk exposure and ties up capital for longer periods.

Australia
Equities and bonds settle T+2 through ASX Settlement

France
Equities and bonds via Euroclear France

Germany
Equities and bonds through Clearstream

Hong Kong
Equity securities via HKSCC

South Korea
Equity markets through KSD



Operations teams must plan for D+2 cash movements and coordinate settlement instructions well in advance to avoid fails.

TRADE RECONCILIATION

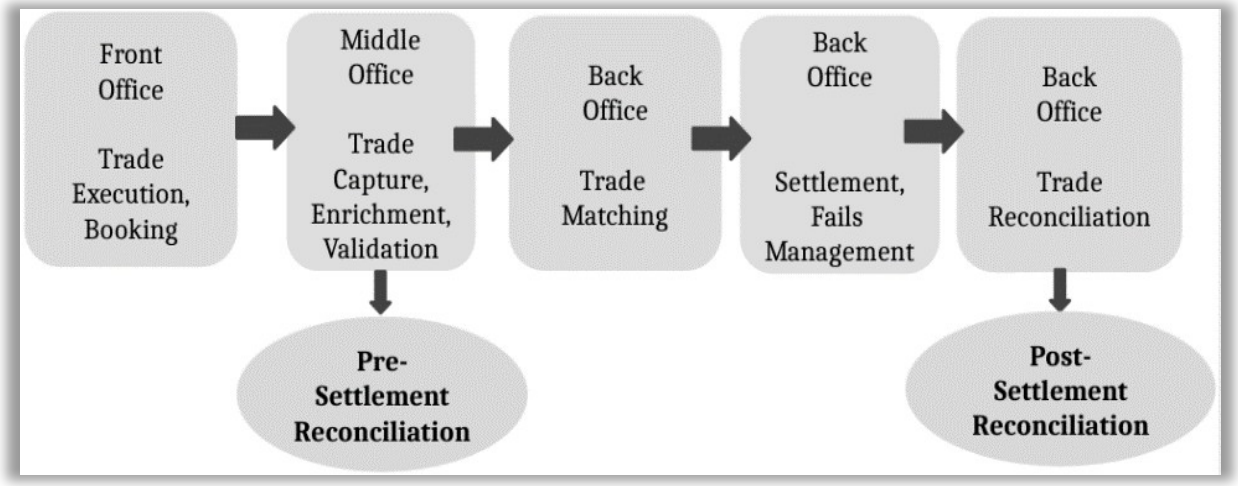
- Reconciliation is the Control Process by which 2 or more sets of data are compared and any discrepancies are investigated and documented through to resolution, including formal reporting and escalation.
- Reconciling positions and trades within internal books and records with the outside world is paramount in ensuring that the STO remains in control of its assets and liabilities
- Reconciliation helps an STO remaining in control of its stocks and cash and is fundamental to successful and efficient operation of its business through maintaining up-to-date internal records.

HSBA Shares			
Ownership	Balance	Balance	Location
Trading book	40,000	–40,000	Custodian
Totals:	**40,000**	**–40,000**	

TRADE RECONCILIATION

Where does it figure in the TLC?

- **Front Office:** Trade Execution, Booking
- **Middle Office:** Trade Capture, Enrichment, Validation (Pre-Settlement Reconciliation)
- **Back Office:** Trade Matching Back Office: Settlement, Fails Management, Trade Reconciliation (Post-Settlement Reconciliation)

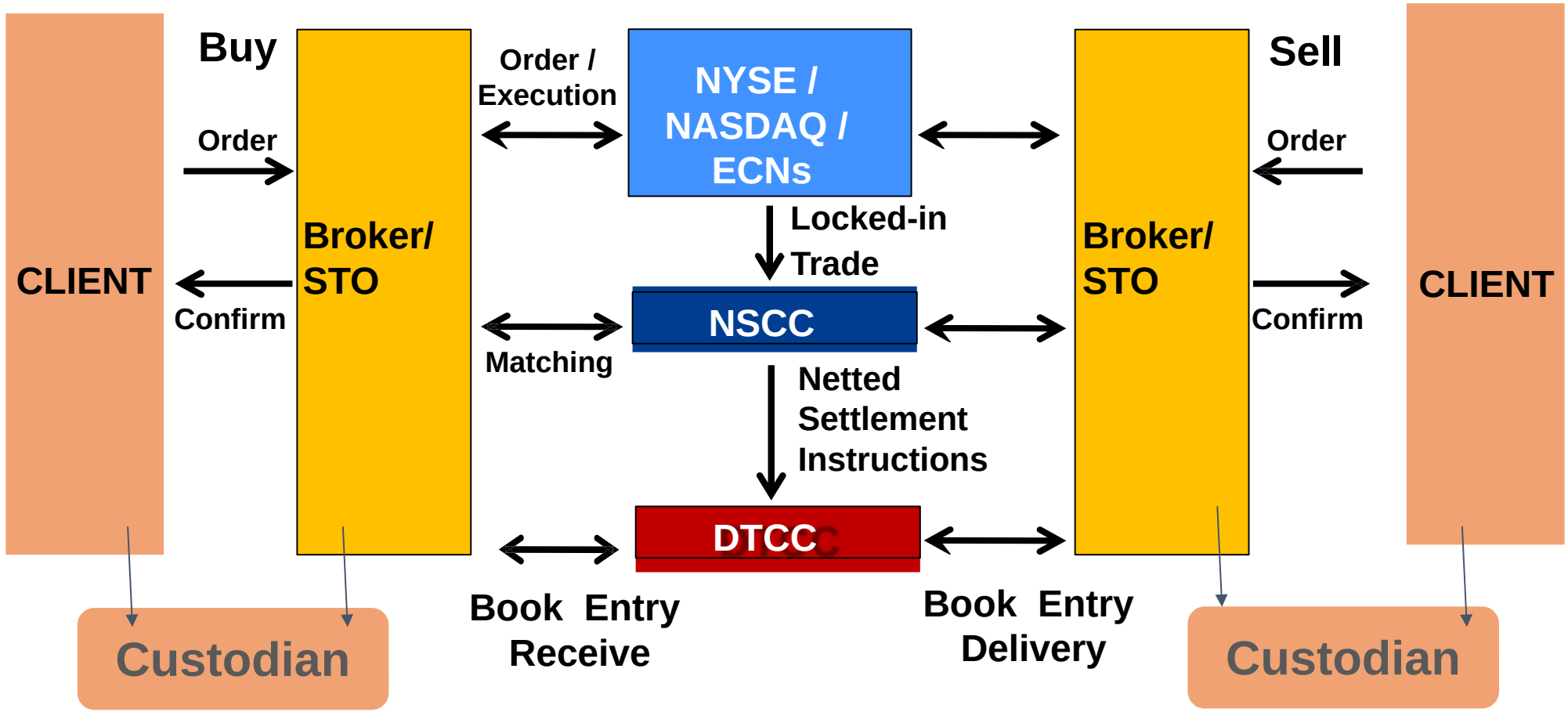


TRADE REPORTING

- Upon receipt, the regulator analyses the transaction detail and attempts to identify unusual patterns of trading, which may have been caused by, for example:
  - Market manipulation, or
  - Insider trading, and
  - Significant errors (on the part of the STO).
  - OBJECTIVE is the identification of breaches of trading rules



Life Cycle of a Typical U.S. Equity Trade





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